

Veerendra Singh & 2 Others v. State of U.P. & 3 Others

Allahabad High Court · Division Bench · 25 October 2018 · Writ - C No. 33147 of 2018 · **Writ petition disposed of; demand notice dated 21.07.2018 set aside; matter remitted for objections, hearing and a reasoned final assessment under ss.126(2)–(3)**

HEADNOTE

A licensee may not treat a provisional assessment as the final assessment merely because the consumer filed no objections. Sections 126(2) and 126(3) of the Electricity Act, 2003 require service of the provisional order, a right to object, an opportunity of hearing, and a separate reasoned final assessment within thirty days of that service, whether or not objections are filed. If objections are filed they must be considered; if they are not, the assessing officer must still record that fact and his satisfaction of the necessity of a final order. Treating the provisional order as final is not a correct approach and does not fulfil those requirements. Recovery certificates dated 21 July 2018 founded on that course were set aside and the matter remitted to the Executive Engineer, Dakshinanchal Vidyut Vitran Nigam Ltd., Hamirpur, for objections (by 2 November 2018), hearing, and a statutory final assessment. The Court did not decide the quantum of the three demands, or a numbered Supply Code clause.

FACTUAL SUMMARY

Veerendra Singh and two others challenged recovery certificates dated 21 July 2018 issued for Rs.49,647, Rs.55,253 and Rs.38,434 respectively. They alleged that before those certificates neither a provisional assessment had been communicated nor had they been given an opportunity to object or a personal hearing, which they said was mandatory under the U.P. Electricity Supply Code, 2005.

Counsel for Dakshinanchal Vidyut Vitran Nigam Ltd. first said a provisional assessment and a demand notice under section 3 of the U.P. Public Moneys (Recovery of Dues) Act had been issued, and that because no objection was filed the provisional assessment stood as the final notice. A counter-affidavit then admitted that, no objections having been filed, the provisional assessment itself had been treated as the final assessment. The Executive Engineer, DVVNL, District Hamirpur, was respondent no.3.

REUSABLE CONSTRUCTIONS

1. A provisional assessment under section 126 of the Electricity Act, 2003 cannot be treated as the final assessment merely because the consumer filed no objections. ¶ 6, 10
2. The assessing officer must pass a separate reasoned final assessment whether or not objections to the provisional assessment are filed. ¶ 11
3. If no objections are filed, the assessing officer must still record that fact and his satisfaction of the necessity of passing a final order of assessment. ¶ 11
4. A recovery founded on a provisional assessment treated as final does not satisfy sections 126(2) and 126(3) and is liable to be set aside, with the matter remitted for objections, hearing and a statutory final assessment. ¶ 6, 12

HOLDING-UNITS

HOLDING-UNIT · EA2003::126(3)

provisional assessment cannot be treated as final on non-objection; reasoned final order and hearing remain mandatory

QUESTION

Where a consumer files no objections to a provisional assessment, may the licensee treat that provisional assessment as the final assessment and issue a recovery certificate?

HOLDING

No. Treating the provisional assessment as the final assessment because no objections were filed does not fulfil sections 126(2) and 126(3). Sub-section (2) requires service of the provisional order; sub-section (3) entitles the person served to file objections and, by the words 'who shall after', requires the assessing officer to afford a hearing and then pass a final assessment within thirty days of service of the provisional order. A final assessment must be passed whether or not objections are filed, and must state reasons. If objections are filed they shall be considered; if they are not, the officer must still record that fact and his satisfaction showing the necessity of a final order. The demand notice dated 21.07.2018 was set aside and the matter remitted to the Executive Engineer, DVVNL, Hamirpur, for objections by 2 November 2018, a hearing, and a final assessment as required by sub-sections (2) and (3). ¶ 6-12

FLAG Petitioners invoked the U.P. Electricity Supply Code, 2005 without a clause number; the Court decided on ss.126(2) and 126(3). Pins are of the unnumbered 25.10.2018 disposal; the PDF also contains listing orders of 1.10.2018, 8.10.2018 and 23.10.2018. The petition challenged 'recovery certificates dated 21.7.2018'; the operative paragraph sets aside the 'demand notice dated 21.07.2018'.

PRINCIPLE TAGS

final-assessment-order-mandatory-under-section-126-3 The Court held that a provisional assessment treated as final merely because no objections were filed does not satisfy section 126(3). A separate reasoned final order is required whether or not objections are filed; if none are filed, the officer must still record that fact and his satisfaction of the necessity of a final assessment. ¶ 6, 10-11

no-recovery-certificate-without-final-section-126-3-assessment Recovery certificates dated 21 July 2018, issued after treating the provisional assessments as final, were set aside and the matter remitted for a statutory final assessment after objections and hearing. ¶ 12

s126-3-hearing-required-before-enforcing-provisional-assessment Section 126(3) was read as requiring an opportunity of hearing after service of the provisional order and before any final assessment. On remand the Executive Engineer must offer a hearing and then pass the final order. ¶ 9, 12

s126-procedural-strictness-notice-and-hearing The Court applied the strict language of sections 126(2) and 126(3): service of the provisional order, a right to object, a hearing, and a reasoned final assessment within thirty days. Deeming the provisional order to be final was held not a correct approach. ¶ 6-11

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — QUANTUM AND CORRECTNESS OF THE THREE ASSESSMENTS (RS.49,647, RS.55,253 AND RS.38,434)

Left to the Executive Engineer on remand after objections and hearing. ¶ 12

NOT DECIDED — WHETHER THE PROVISIONAL ASSESSMENTS WERE IN FACT COMMUNICATED OR SERVED

The original plea was non-communication. The Court proceeded on the admitted footing that a provisional demand had been issued and no objections filed, and did not decide a service failure. ¶ 4-5, 10

NOT DECIDED — WHETHER THE DEMAND WAS A THEFT ASSESSMENT (CLAUSE 8.1) OR OTHER UNAUTHORISED USE (CLAUSE 6.8)

The order does not characterise the demand; petitioners invoked the Supply Code, 2005 without a clause number, and the Court applied only ss.126(2) and 126(3). ¶ 3-12

NOT DECIDED — INDEPENDENT VALIDITY OF RECOVERY UNDER SECTION 3 OF THE U.P. PUBLIC MONEYS (RECOVERY OF DUES) ACT

Mentioned in the 8.10.2018 listing order as the vehicle of the demand notice; the 25.10.2018 disposal turned on section 126, not on that Act. ¶ order of 8.10.2018